

From: Yearwood, Adam T CIV OSD OUSD ATL (US)
To: [Secretary](#)
Cc: [Lord, Stephen F CIV OSD OUSD ATL \(US\)](#); [Galluzzo, Francis A CTR \(US\)](#)
Subject: Docket No. 17-04 (UNCLASSIFIED)
Date: Thursday, June 1, 2017 7:54:50 AM
Attachments: [USD AT&L signed ltr to FMC 20161125.pdf](#)

CLASSIFICATION: UNCLASSIFIED

Sir:

I was pleased to see the recent Federal Register Notice requesting information and comments on existing FMC regulations that are outdated, unnecessary, ineffective, eliminate jobs or inhibit job creation, impose costs that exceed benefits, or otherwise interfere with regulatory reform initiatives and policies. As you may be aware, the Department of Defense requested elimination of two ocean conference agreements for shipment of military household goods (see attached) and the Department's request certainly meets the Federal Register Notice criteria for elimination of FMC regulations that are outdated and unnecessary.

I would appreciate an update on FMC's actions to eliminate the Trans-Atlantic American Flag Liner Operators (TAAFLO) and the Trans-Pacific American Flag Berth Operators (TPAFBO), which allow three ocean carriers to provide monopoly or near-monopoly rates to household goods carriers for the international ocean transportation portion of DoD household goods shipments.

Sincerely,

Adam T. Yearwood
Performing the Duties of the
Deputy Assistant Secretary of Defense (Transportation Policy)
Office of the Secretary of Defense
571-372-5215

CLASSIFICATION: UNCLASSIFIED



ACQUISITION,
TECHNOLOGY,
AND LOGISTICS

THE UNDER SECRETARY OF DEFENSE

3010 DEFENSE PENTAGON
WASHINGTON, DC 20301-3010

NOV 25 2016

Chairman Mario Cordero
Federal Maritime Commission
800 North Capitol Street NW
Washington, DC 20573

Dear Chairman Cordero:

I am writing to request removal of the Trans-Atlantic American Flag Liner Operators (TAAFLLO) and the Trans-Pacific American Flag Berth Operators (TPAFBO) agreements, which we understand allow three ocean carriers to extract monopoly or near-monopoly fees indirectly from the Department of Defense (DoD).

Removal of these agreements will increase competition, lower transportation costs to the Department, and enable DoD to enjoy the same competitive rates available to commercial shippers of household goods. Elimination of anticompetitive practices will help DoD compete in a fair, effective, and efficient marketplace. According to the enclosed analysis, the TAAFLLO and TPAFBO rates result in an unreasonable increase in transportation costs with rates averaging between 8 and 59 percent more than DoD's contracted ocean liner rates, which are comprised of mostly U.S.-flag service.

The Department has placed a renewed emphasis on delivering better value to the taxpayer and Warfighter by improving the way the Department does business. Elimination of the two ocean conference agreements supports this focus by increasing competition and lowering costs to the Department. Removal of the two agreements is also a DoD initiative submitted to the National Economic Council in support of the April 15, 2016, Executive Order, "Steps to Increase Competition and Better Inform Consumers and Workers to Support Continued Growth of the American Economy." I look forward to working with you to remove the TAAFLLO and TPAFBO agreements. My point of contact is Adam Yearwood at 571-372-5215 or adam.t.yearwood.civ@mail.mil.

Sincerely,

Frank Kendall

Enclosure:
As stated

Rate Analysis Summary

DoD Ocean Liner Contracted Rates versus TAAFLO/TPAFBO Rates

The Department of Defense (DoD) compared ocean transportation rates between DoD's ocean liner contract, Universal Services Contract-8 (USC-8), and the two military household goods ocean conference agreements, Trans-Atlantic American Flag Operators (TAAFLO) and Trans-Pacific American Flag Berth Operators (TPAFBO).

This analysis included 392 rates that represent 87 percent of the annual DoD spend on DoD international household goods movements. TAAFLO and TPAFBO rates took effect on May 29, 2016, and USC-8 rates took effect on October 1, 2016; rates are effective for one year. Not all channels have both ocean conference agreement and USC-8 rates, and therefore some rate comparisons could not be made. Comparison of TAAFLO rates included channels between the United States and Europe, Middle East, and India. Comparison of TPAFBO rates included channels between the United States (including Alaska and Hawaii) and the Far East (Japan, Okinawa, Korea, Singapore, and Thailand).

USC-8 is a U.S. Transportation Command indefinite delivery/indefinite quantity contract that provides international cargo transportation and distribution services using regularly scheduled commercial liner sealift provided by 29 ocean carriers. DoD uses USC-8 for most of its containerized sustainment requirements. As required by law, the contract provides a preference to privately owned U.S.-flag vessels, and approximately 90 percent of cargo movements are on U.S.-flag vessels.

TAAFLO: Carriers include Hapag Lloyd, Maersk Lines Limited, and APL. Overall, the TAAFLO rates are an average of 13–54 percent higher than USC-8 rates. In 2015, high volume military household goods shipment channels between CONUS and Italy, Spain, and Turkey represented 85 percent of the \$72 million in TAAFLO costs analyzed.

TPAFBO: Carriers include Maersk Lines Limited and APL. Overall, the TPAFBO rates are an average of 8–59 percent higher than USC-8 rates. In 2015, high volume military household goods shipment channels between the Continental United States and from Japan, Korea, and Okinawa represented 91 percent of the \$148 million in TPAFBO costs analyzed.

Total 2015 costs related to international household goods inclusive of line haul, crating, storage in transit, etc., was \$253 millionⁱ, of which it is estimated that more than a third, or \$97 million, was ocean transportation cost.

The tables below represent the estimated cost savings if the TAAFLO and the TPAFBO agreements are removed. These savings are based on the use of 40 foot containers; negative values indicated that USC-8 rates are less than the corresponding agreement rates.

TAAFLO	
Country	Avg Savings
India	-53.65%
Portugal	-46.03%
Spain	-34.73%
Greece / Crete / Lebanon	-31.40%
Kuwait	-30.06%
Turkey	-26.61%
Bahrain / Abu Dhabi / Fujarah /Jebel Ali / Oman / Qatar / Saudi Arabia	-23.00%
Italy	-12.48%
TPAFBO	
Country	Avg Savings
Taiwan	-58.61%
Singapore	-28.65%
Thailand	-22.31%
Okinawa	-12.76%
Korea	-8.57%
Japan	-7.86%

For more information, please contact Mr. Adam Yearwood at 571-372-5215 or adam.t.yearwood.civ@mail.mil.

ⁱ Source: DoD's Third Party Payment System